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[November 20, 2022](#)

Judge Crypto | Swings & HODLs

By: *Brett Jessen*

A JOYFUL TIME

For those that don't already know - I'm a Hub Supervisor at UPS, and this is the MOST wonderful time of the year for us (sarcasm). I should've planned this, but I'm currently updating this newsletter from my office while the operation is running lol.

December Narratives

The market is currently in my “non-trade” zone. So, to avoid giving bad trades in an attempt to provide content, I’ll instead give you all some narratives I’m watching that I may take trades based on.

- **Theta** mainnet 4.0 launch on December 1st
- DCG Insolvency rumors: **GBTC** dissolution trade-> increased BTC spot selling pressure as "redemptions" occur, this should happen until convergence on the GBTC/BTC pair occurs (not necessarily 1:1 since there are still underlying risks on the derivative)
- Binance raising funds to buy distressed assets -> could see a bid on vulnerable platform tokens (**VGX**, **REN**) or tokens on the grayscale holdings

The inverse may also apply if Grayscale announces bankruptcy due to insolvency, shorting their holdings would likely be a good trade as they would be forced to sell

The main grayscale altcoin holdings relative to the circulating supply are:

ETC, **ZEN**, **ZEC**, **LPR**, **LTC**, **BCH**, and **MANA**, respectively.

- **LINK** staking v.01 early access on December 6th
- **APE** staking goes live on December 5th, with rewards accrual starting a week later
- DEX/Decentralized Wallets season, after the FTX fiasco, there is less trust in centralized exchanges and higher confidence in self-custody **DEX** tokens: **GMX**, **dYdX**, **GNS**, the latter expected to launch on Arbitrum in December as well
- Decentralized Wallets tokens: **SFP**, **TWT**, **C98**, they are also an alternative for Metamask, which now tracks IP and wallet addresses after a recent privacy policy update announced by Consensys
- **GMX** - potential Polygon partnership after a forum proposal by a Polygon team member
- **dYdX** V4 long-awaited launch to finally happen in December with a public testnet.

- **MPL** (maple finance), maple 2.0 is expected to launch in December, with an upgrade of its core smart contract infrastructure. There will also be a Partnership with Icebreaker to provide \$300m worth of loans to Bitcoin mining companies, which are in a tough spot as bitcoin hash rates spike during the bear market, meaning reduced mining profitability
- **AAVE**, **GHO** stablecoin expected to launch soon. It is confirmed that the \$GHO revenue will go back directly to Aave stakers. Aave will also be deployed on Starknet in 2023.
- **Sushi** new tokenomics draft is to be released in late December, worth following @jaredgrey to hear it first.
- **YFI** ongoing proposal to activate veYFI, a first step in the implementation of YIP-65 that aims to improve YFI's tokenomics through vote-locking and vault gauges 69%
- **CHZ**, Chiliz Chain 2.0, an EVM-compatible and BSC fork chain with CHZ as its native token, expected to launch in December
- **SCRT**, Secret Summit 2022 conference in December 15th and the 2.0 main net launch, big announcements are expected per hints on their website
- Zk-season, zkSync & Starkware token launch expected to launch soon, MINA, LRC, MATIC, DUSK, RUNE, METIS, AZERO, and MATIC are some tokens that can catch a zk-bid.
- Step App, a Move2Earn app, launch on December 1st at the Step App conference in Tokyo
- **BabyDoge** burn on December 1st, implementing a swap fees buyback & burn mechanism for all pairs on the platform
- **Floki** is expected to be listed on Binance and OKX. They are launching a debit card and a partnership with Binance Pay was leaked during an AMA as well.
- **LRC**, protocol fees going to stakers
- **ADA**, the first algorithmic stablecoin rumored to launch in January 2023
- **XRP** potential lawsuit news, **XLM** historically lags it, worth putting @FilanLaw on notifications, as he tends to be the first to share lawsuit-related news and has a big audience

Last week's results...

Last week I discussed 2 trades and 2 DCA opportunities...

Trade - Solana (SOL) is currently up 12.4%

Solana broke the trendline I called for as the entry (\$12.65). If this trade was entered - move the stop loss up to the entry, and the take profit range remains the same.



TAKE PROFIT: \$16.25-\$17.20

STOP LOSS: \$12.65

Trade - Ethereum (ETH) 13.4% GAIN



This trade setup played out perfectly - entry and both take profit points hit, while the stop loss was missed.

DCA - Reef Finance (REEF) - Still in Accumulation Zone



Although Reef did go lower than I expected, it's back in my accumulation zone. I still intend on this being a runner once the market turns.

DCA - Kasper (KAS) - STILL Running



As previously stated, I put \$1k in at \$0.00297.
That \$1k is now \$3,280.

I still haven't sold anything. While I won't suggest buying something that's ran this much already - the fact that it's doing this now gives me confidence it will rally in the next bull-phase.

Again, expect higher quality moving forward - but I'm glad to be back!

[December 4, 2022](#)

Judge Crypto| Swings & HODLs

If you've followed me for any length of time seen me talking about only taking the time to do this to help others. I've been in crypto since 2016 and I'm not a millionaire because I let greed get in the way. It took me blowing up 3 accounts – 2 of which were over \$100k in 2018, to finally learn how to control greed. While risk is something I still take, I've learned to only use a portion of my portfolio to trade – and I urge you all to do the same.

Bitget Star Trader

I posted in the Facebook group about becoming a star trader on Bitget. This opens the ability for my followers to implement automated copy trading to my account – which works out perfectly with my style of trading. I'm still in the process of testing out all the in's and out's just to make sure I understand everything fully, but I should be ready to be copied by the next newsletter – DO NOT COPY MY TRADES YET IF YOU FIND ME, I've purposely taken bad trades just to see what actions I need to take to do certain things (Take profit levels, stop loss, etc.).

Full disclosure – I believe it does put 10% of my follower's profits in my account, if this turns into any significant amount of money, I'll give that back to you all in some way be it a giveaway, donating to a cause, or whatever – I don't want you to have to pay more to follow me.

[Download Link for App](#)

Bitcoin (BTC)

As seen below, Bitcoin is in a (bull) flag, but it's at an interesting point in the market after a recent fall/bounce. I will enter a trade in either direction on a breakout of the flag – although I believe in the upside more than the downside. The yellow direction line is what I see happening – a fake-out to the downside, followed by move to the upside to the price target.



Entry: Break of trend

Long stop loss: \$16,700

Short stop loss: \$17,325

**Take profit ranges are on chart.*

Solana (SOL)

Solana is in a very similar position as Bitcoin. I expect to see the same movement as well, with likely more upside in the long-term. Just as Bitcoin, I'm assuming we will see a fake-out to the downside followed by an upwards movement.



Entry: Break of trend

Long stop loss: \$13.02

Short stop loss: \$13.84

**Take profit ranges are on chart.*

Summary

I expect to see the majority of alt coins making the same movement as Bitcoin this week so there's no need to chart a bunch. If Bitcoin breaks up, you're likely safe to

enter your favorite altcoin trade - but if Bitcoin breaks down you may want to look to sell off some holdings and wait for a bottom re-test.

[December 11, 2022](#)

Judge Crypto | Swings & HODLs

By: *Brett Jessen*

Bitget Star Trader

Starting off with some bad news regarding Bitget Star trader – I didn't realize US citizens aren't allowed on Bitget. I know, TECHNICALLY, we aren't allowed on most platforms, but it was my thought that Bitget was turning a blind eye. I've been facing login problems as of late that have resulted in me deciding not to continue this endeavor as I'm willing to risk my own capital on the exchange, but I'm not willing to put others at risk.

Long-term investing / DCA week

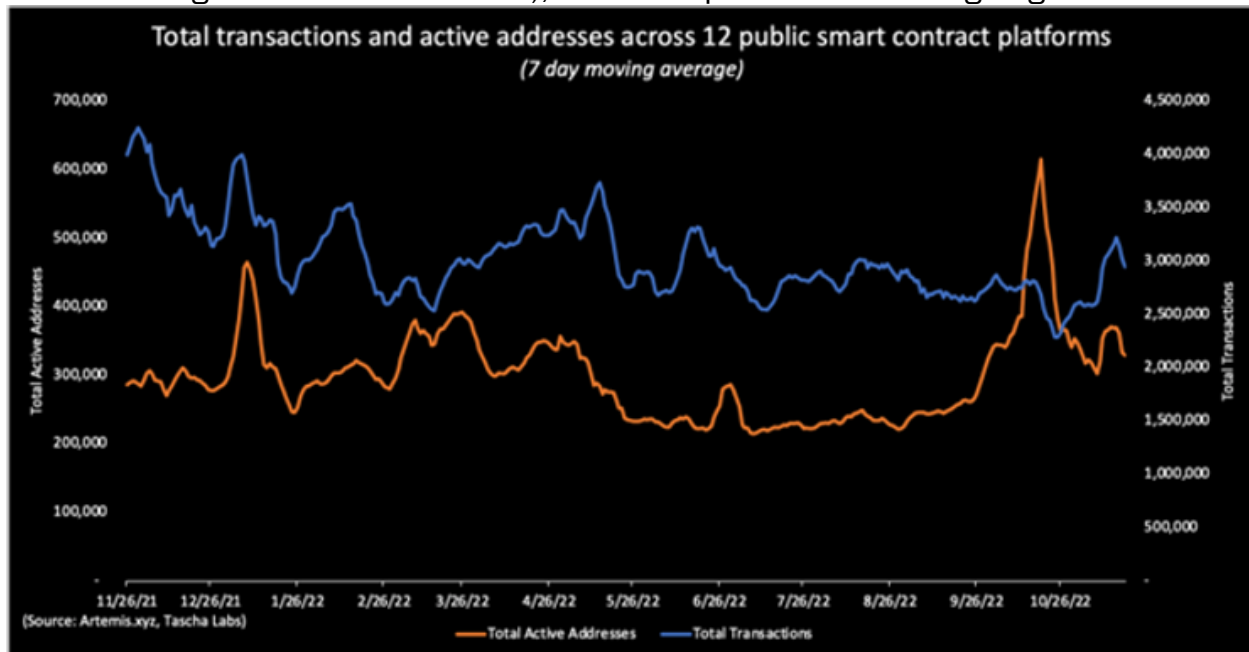
I've realized I'm promoting short-term trades over long-term investing as of late – which is something that goes against why I started – so for this week, I'm going to go over some projects I've been eyeing/DCAing into as I believe they are likely to be winners in the next leg up.

Despite Price, Web3 is Strong

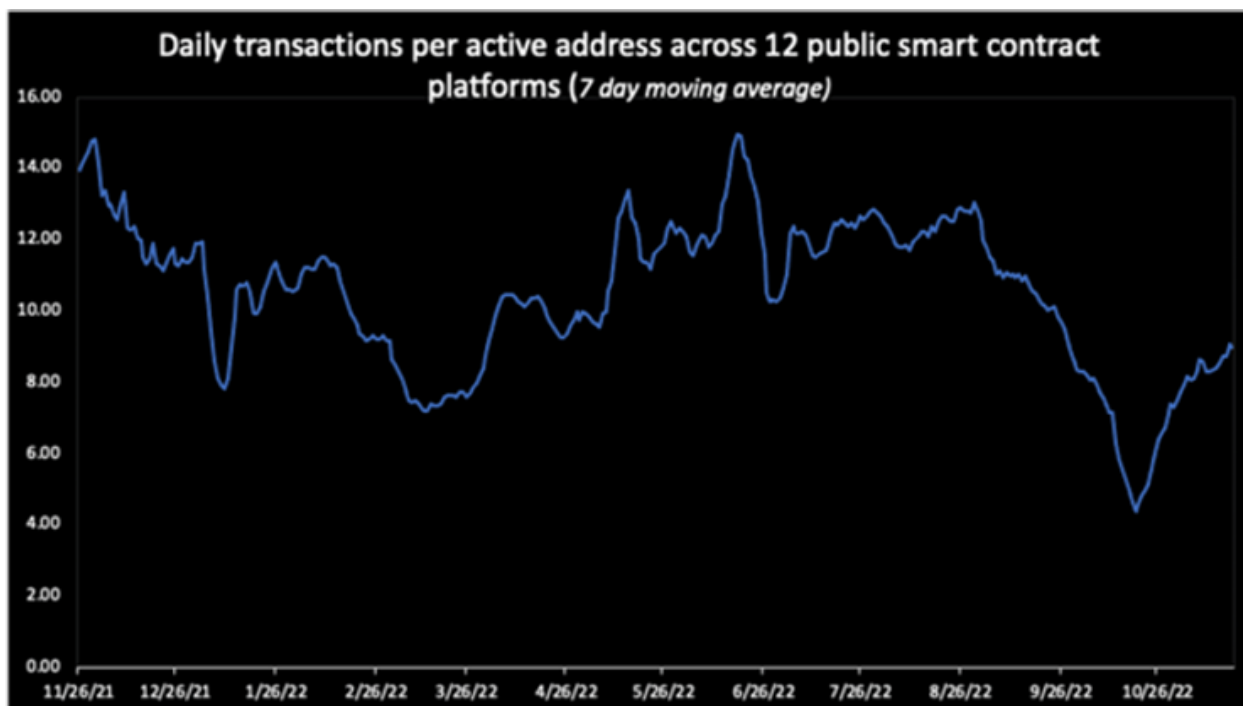
Despite the bear market and the market capitalization of crypto declining by 70% from a year ago, the adoption of web3 tech is growing. For most the decline in price action has masked the actual growth of web3 economies.



Over the past year, the total number of transactions across major smart contract blockchains only dropped by 25%, while active addresses increased by 15%. This shows that despite the decline in speculative activities (a big driver of on-chain transaction growth in bull markets), web3 adoption is continuing to grow.



Daily transactions per active address dropped from 15 a year ago to 9. This is only natural since speculative actions like yield farming and play-to-earn largely disappeared. However, 9 transactions per day per address is still a significant level of activity.



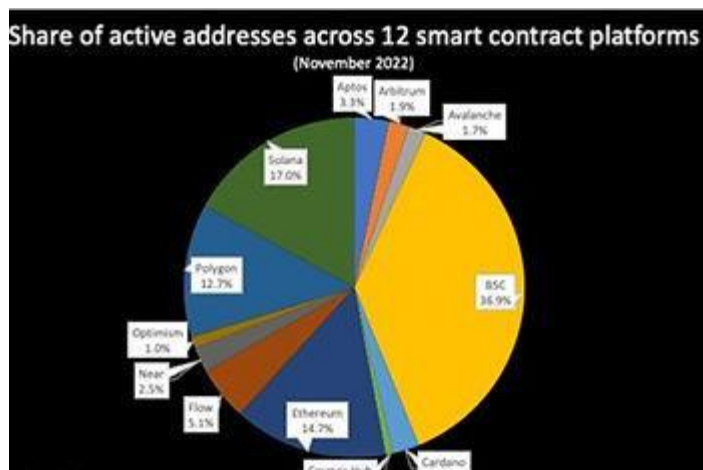
Web3 has displayed a promising level of resilience, this resilience is not evenly spread across all blockchains, though, as some are faring better in the current bear market than others, and some are facing serious challenges but may still recover. Both scenarios could offer good investment opportunities going forward.

Investment Themes to Navigate the Bear

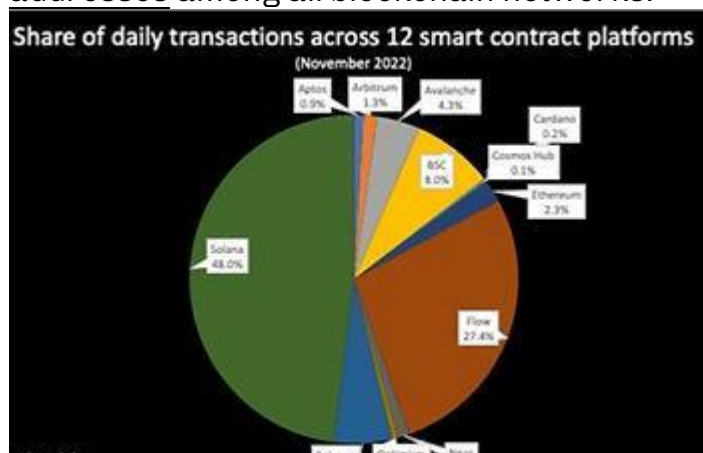
A review of the adoption status of major blockchains reveals three potential investment ideas for positioning oneself for the next market cycle. My top three investment themes for when the market gradually emerges from the bear market (expecting it sooner than later) are the likely turnarounds, the Ethereum scaling champ, and the grass-root survivors.

Likely Turnarounds

The first idea is to invest in the "likely turnarounds", which is my classification for blockchains that have experienced significant declines in price but still have a large and diverse ecosystem.



The best example of this is Solana, which has the second-highest number of active addresses among all blockchain networks.



While also generating almost half of the daily transactions in the entire web3 economy.

Despite its strong fundamentals, its price has dropped by 93% year-on-year, likely due to forced selling by liquidity-strapped institutions holding large amounts of SOL and market concerns about the potential demise of the Solana ecosystem. Solana could be a classic turnaround story.

Another project with a strong turnaround potential is Flow – with the second steepest price decline (-91%) while activity level has had triple-digit growth.



Scaling War Champ

The second investment idea is to invest in the "Ethereum scaling war champ," which refers to Ethereum-based scaling solutions that have seen significant growth this year. Examples of these include Arbitrum and Optimism, which have both seen a large growth in users, transactions, and engagement after upgrades in Q3.

Chain	Daily transactions				Daily active Addresses				Transactions per active address			
	latest	3 months ago	6 months ago	1 year ago	latest	3 months ago	6 months ago	1 year ago	latest	3 months ago	6 months ago	1 year ago
Avalanche	138,238				23,883				6			
Arbitrum	596,914	300,285	89,655		60,136	22,617	16,525		10	4	5	
Auracache	1,370,967	1,431,617	1,337,138	8,268,178	44,580	46,054	61,211	100,268	44	31	19	82
BSC	3,547,340	3,368,773	4,232,706	15,046,325	1,070,638	758,915	865,181	1,526,732	3	4	5	10
Cardano	74,045	69,216	93,299	250,562	85,561	64,694	88,072	396,958	1	1	1	1
Cosmos Hub	50,525	69,842	51,983	24,997	19,957	17,388	17,705	7,861	3	4	3	3
Ethereum	1,092,512	1,088,827	1,305,083	3,254,634	445,544	481,459	488,268	537,660	2	2	2	2
Flow	914,150	572,563	531,288	242,752	96,121	184,198	49,860	18,432	10	8	11	13
Near	478,142	338,813	583,712	298,166	59,355	10,051	11,865	32,815	8	34	49	9
Optimism	314,639	138,882	63,521	33,280	34,362	13,139	5,736	2,702	9	11	11	12
Polygon	2,350,854	2,959,186	2,834,785	4,001,305	329,721	233,768	252,735	286,467	9	13	11	14
Solana	18,396,462	33,717,777	16,545,736	49,681,610	418,203	686,847	1,239,652	814,127	44	49	13	61

However, both solutions started from a small base, so their growth may not be as significant as it appears at first glance. Polygon is another Ethereum-based scaling solution that has seen positive user growth but a decline in transaction numbers from a year ago. This may be because non-crypto-native users added from large web 2.5 projects are not as active on the platform.

Grass-root Survivors

The third investment idea is to invest in the "grass-root survivors," which refers to blockchains that have maintained strong levels of activity and adoption despite the bear market. An example of this is Cosmos – which has seen a significant increase in activity even though they are choosing to grow organically.



I've mentioned previously that Cosmos was the only competition to my love – Polkadot, as both are improving web3 interoperability. I hate to say it, but Cosmos is currently winning. As the space continues to grow, so will the importance of cross-chain communication. The only other notable project I would put in this category is Polkadot – as active development is still taking the cake.

Summary

At [The End](#) of the day, it's all about risk vs. reward, and you want to bet on projects with high reward with moderate risk or moderate reward with low risk. When looking at my 3 investment themes, I would classify them as follows:

1. Turnaround kings – high reward, moderate risk
2. Ethereum scaling war champ – high reward, moderate risk
3. Grass-root survivors – moderate reward, low risk

If I were to list my “most likely to be a good investment” projects in order, they would be:

1. Solana
2. Arbitrum
3. Polygon
4. Cosmos
5. Polkadot

Usual disclaimer: We're in the early days of web3 – my opinion is fluid and subject to change, but my personal investment strategies are following along with this write-up.

[January 1, 2023](#)

Crypto Recap and Outlook

By: [Brett Jessen](#)

2022: A Year to Forget?

With the close of the year, I intended on making this a recap and outlook, but after a little thought – I don't need to review anything, it's all common knowledge. We are witnessing the beginning of true mainstream adoption, something I've been waiting on for nearly 7 years.

What was once only discussed between “cypher punks” and “tech bros” is now being discussed at dinner tables around the world. While the discussions are based on negative news topics, the key is they're happening. More people about crypto by the day.



One thing I will review that may have been overlooked is DeFi (*decentralized finance*) proving itself. It's important to note that FTX, Voyager, and Celsius **WEREN'T** crypto. They were nothing more than centralized digital asset management companies operating with no regulation. Their downfalls were caused by the same thing that occurs in every other financial market – becoming over-levered from greed leading to insolvency.

Celsius specifically locked up their users' funds in June as they approached insolvency. A lot don't know they were also paying back over \$1B in DeFi loans during that same time - which they ended up paying in full. Users that locked their funds for the DeFi platforms to give loans were all paid back in full – while the users that were using Celsius will likely be paid back with pennies on the dollar, if at all. The loan/borrow system on these platforms works via decentralized smart contracts - which don't increase trust but eliminate it entirely.

2023: Year of Mass Adoption?

I figured I'd stick to the experts' outlook for 2023 and took some time to actually read the 168-page "[Crypto Theses for 2023](#)" from Messari discussing everything Web3. The following are the main points:

Winter is Here

- Speculative mania gone
- True Believers remain
- Fundamentals stronger than before
- Most important time in crypto history to focus and learn

Crypto Still Inevitable

- Innovation overshadowed by scams
- Bitcoin & Ethereum in historic 'buy range'
- Stablecoins rival global card networks (visa..)
- L1s scaling & lowering fees
- DeFi working without hiccups

VC money still exists

- '21 - mid '22 = \$55b of investments
- 2nd half of '22, VC investments were down 70%
- VC investments slowed but still going

Exchanges

- Coinbase & Binance dominate
- FTX's failure led to increased transparency standards
- Regulatory risks for smaller exchanges are present

StableCoins

- Should be USA leading export
- Huge potential & scale
- First government player will benefit big time
- Stablecoin settlement rivaling big payments players like Visa / Mastercard / PayPal
- \$100B+ market cap

What's Vitalik Buterin Excited About?

- Privacy preserving stable coins
- Prediction markets!
- Identity modules (ENS, etc.)
- On + off-chain hybrid applications

Revenge of the dApps

- DeFi TVL = \$40 billion
- Financial services industry = \$23 trillion
- Huge market to be had for DeFi apps
- Growth upside is big

The Uniswap Unicorn

- Currently only \$1b+ protocol
- V3 update was huge
- Likely to keep its dominance
- Dividend 'fee switch' going into trial run

Real World Collateral (DeFi)

- Overcollateralized lending dries up when risk-off
- Undercollateralized lending popping up in DeFi (Goldfinch / Maple Finance)
- DeFi will need to create more uncollateralized lending to compete with banks

Rise of Liquid Staking

- stETH & rETH huge growth
- Risk of staking ETH falling,
- Little reason NOT to stake ETH
- Synthetic assets give utility & will create long-term hodlers

Generative Art / NFTs

- Market value \$8b-\$10b
- 2/3 of NFT value = profile pics
- Gaming has big potential
- Bleeding into every industry
- NFTs disrupting creator monetization

GameFi

- Gaming + Finance
- Traditional gaming extracts value from players
- GameFi gives value back
- Enjoyable games still lacking

DeSo (Decentralized Socials)

- Decentralized social gaining steam
- On-chain reputation/ownership
- Give value back to users

Wallets

- Wallet abstraction needed
- Coinbase web3 in-app wallet
- Great wallet experience needed for payment adoption
- Zapper and Nansen explorers are a huge help for investors/users

[January 7, 2023](#)

Crypto Recap and Outlook

By: *Brett Jessen*

Hopefully, everyone is having a great weekend! I'm going to try a new format today to keep my piece concise to lessen both your time reading and my time writing, just straight to the point. Let me know what you think – but I'll start with my own version of TL;DR hitting main points – let's call it NET for now (Not Enough Time), then I'll go into each topic and end with some TA. Here goes...

NET

- 62% of the \$7.1B of 2022 investment funds went into Web 3 gaming
- CES weekend proving we're still early
- Products to smell and feel in the metaverse!
- LG bringing Web3 to your living room

- Mastercard partnering with Polygon

Web3 Gaming – Investors Main Focus

Looking at Web3/Crypto as a whole – there are a lot of different opportunities for diversification. There's Defi, Layer 1's, Layer 2's, DEXs, Storage, etc. – but with 62% of the \$7.1B in investment funds going into the gaming sector, it's a safe bet to succeed. I've played nearly every "mainstream" Web3 game, and IMO... they all suck. Traditional gamers also aren't flocking to the play-to-earn games that launched like wildfire last year – so what's catching the interest of investors? My guess is we haven't seen anything yet, so I'd be wary of buying into MANA or GALA (although Gala's new [deflationary token model](#) is worth looking at).

For a web3 game to succeed, it can't refer to itself as a web3 game. Web3 shouldn't be the focus but the function. Also, making money to play shouldn't even be a highlight of the game. Basically, there just needs to be a GOOD game that launches with an internal marketplace – I know, I know, World of Warcraft tried it, and it didn't succeed, but keep in mind there have been 8 years of innovation, research, and [Trial and Error](#) since that – I firmly believe P2E is inevitable.

CES Weekend – We're Just Beginning

The number of blockchain/metaverse startups are growing FAST. In previous years at CES, if you mentioned blockchain, you were laughed at, but this year there was a dedicated metaverse section at Central Hall with numerous blockchain companies.

Highlight of some interesting companies:

- ClimateTrade: Helps companies offset carbon emissions. They use blockchain tech to provide traceability & insights into companies' emissions & the best way to offset
- OVR Technology: Helps users smell stuff in the metaverse. It's a headset that creates a digital scent.
- OWO: Helps people feel more than 30 physical sensations in the metaverse, like free falling, [Push/Pull](#) interactions, wind, and more.

Web3 in Your Livingroom

LG dropped a few big announcements at CES this weekend:

- Launch of Blade Wallet, an app that lets users buy, sell, & trade NFTs directly on their LG smart TVs
- Launch of Sansar, a social metaverse platform that lets users virtually access live real-time events (like concerts) and will have a User Generated Market (UGM)
- Partnering with Oorbit, a metaverse platform that lets users access virtual worlds & play Generative-AI multiplayer games

LG is trying to make trading NFTs & going to the metaverse as easy as opening the Netflix app.

Mastercard Going In

The CEO kicked off the week with some big words: “In 2023, we’ll be laser-focused on using crypto tech to create practical products, build trust, and solve problems for people.”

No one knows what it means, but... *IT GETS THE PEOPLE GOING!*

That was followed up with a big announcement at CES - Mastercard is partnering with Polygon to launch a new accelerator program for musicians.

The program will be focused on getting artists (singers, DJs, etc.) familiar with everything Web3. By [The End](#) of it, they’ll know how to mint their own NFT collection and how to represent themselves in virtual worlds.

[January 22, 2023](#)

Crypto Recap and Outlook

By: *Brett Jessen*

I’ve decided to go back to my roots this week and encourage responsible investing. While leverage trading in crypto can make insane gains in minimal time, it requires MUCH more effort than just investing. I’m not a crypto millionaire yet – but I would be had I just held my investments. For reference, I invested \$10,000 equally into Bitcoin and Ethereum when Bitcoin was \$800 and Ethereum was \$11. Leverage trading has undoubtedly made my crypto journey much more difficult - countless all-nighters worried about trade, fighting with FOMO, and even using substances to stay awake (completely sober now, but it was a rough one).

Long-Term Portfolio

The allocations of this portfolio provide both diversification and quality. In building this portfolio, I was focused on minimizing risk while also investing in what I believe will be big narratives in the next bull run.

Bitcoin	25%
Ethereum	25%
Polkadot	12.5%
Polygon	5%
Arbitrum	5%
Solana	2.50%
Cosmos	2.50%
Aptos / Sui	2.50%
Filecoin	2.50%
Arweave	2.50%
Stargate / Layerzero	2.50%
Chainlink	2.50%
Uniswap	2.50%
DEX Perps (GMX, DYDX, APEX)	2.50%
Social Infrastructure (MASK, DESO)	2.50%
Gaming Infrastructure (IMX, GALA, PYR)	2.50%

I asked myself five questions when selecting these tokens, which are questions you can use as well to decide if you're making a good investment.

1. Will the token survive a prolonged bear market?
2. What is the fully diluted valuation, and how does that compare to its competitors?
3. Is the team still motivated to build, or have they given up?
4. Is the project part of a narrative that's likely to see the hype in the future?
5. Is it the leader of the sector and continuing to grow?

Potential Trades

It's to be seen whether or not this is a lasting pump but judging by the RSI being significantly overbought on most charts, I expect to see a re-trace over the next couple of weeks. Don't chase the buys, let them come to you.

Polkadot (DOT)



Litecoin (LTC)



Apecoin (APE)



[January 29, 2023](#)

Crypto Recap and Outlook

By: *Brett Jessen*

Crypto Keeps Pumping

As inflation subsides, numbers are going up in crypto markets. Genesis filed Chapter 11 bankruptcy, and crypto prices still didn't budge. You're not the only ones wondering... is the bottom finally in?

BTC continues to climb and was just shy of \$24,000 as of writing. On top of that, Fantom (FTM) is up 52%, ApeCoin (APE) 29%, and Optimism (OP) 22.6%. Taking the largest gains is Aptos – up 126% to \$17.95.

So should you buy it now?

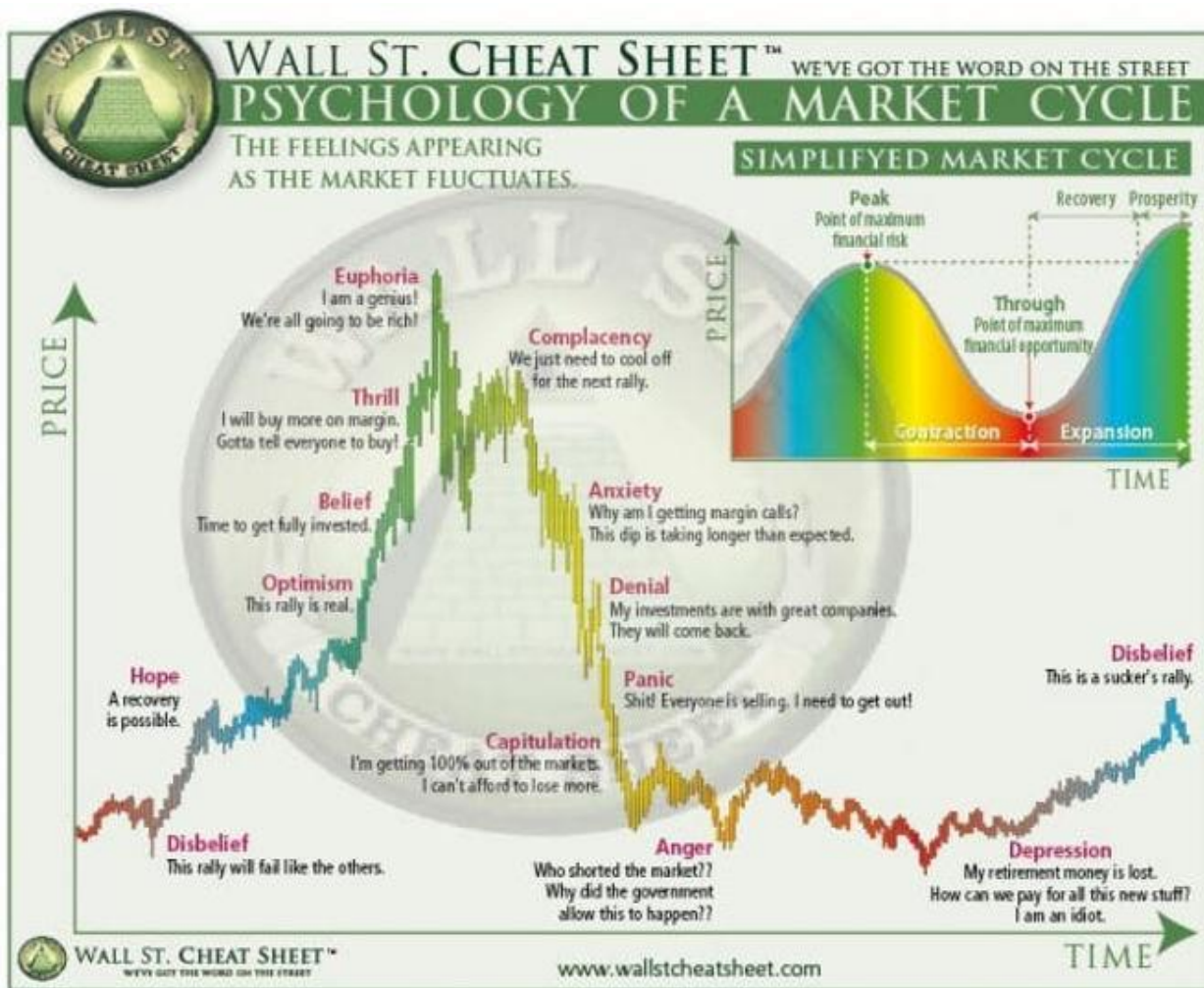


Everyone has their own opinion on this one – but I am currently shorting, expecting a pullback.

As you can see above, Bitcoin has hit my sell/short zone. If \$25,200 breaks, my pullback theory could be invalidated, but until that happens, I'm playing it.

As of now, my plan is to close 50% of my short at \$21,512. I've been generally bullish through this entire pump and have made good profit betting on the upside, but to see EVERYONE become bullish as well is a scary sign.

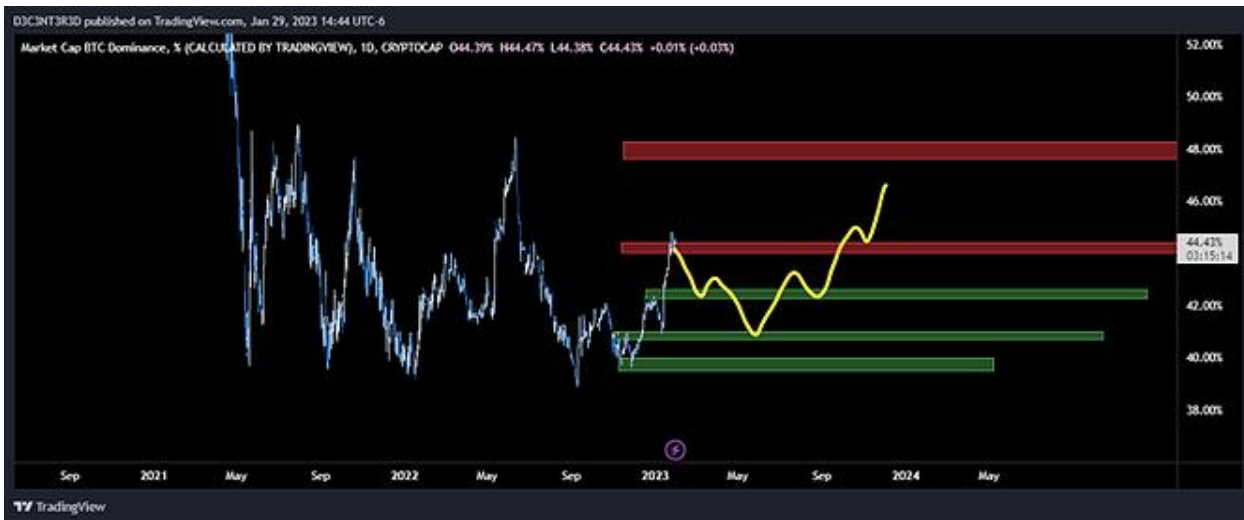
Also, compare the psychology of a market cycle with Bitcoin's chart...



I normally hate comparing real-life charts to charts like this, and I know comparing the two charts above isn't the easiest here, but I suggest taking a closer look on your own. It looks like we're in the bounce after the "Anger" phase. Notice how the price bounces after Anger but **DOESN'T HIT A HIGHER HIGH** that's why I'm waiting to see \$25,200 before I get too excited.

I am sticking to just shorting Bitcoin, even though I have more long-term confidence in Bitcoin than any other crypto, which may not make sense at first, but it all comes down to market flow. When

Bitcoin tops, profit generally flows into larger cap alts then from then into small caps, and Bitcoin Dominance (BTC.D) is also making this look like a reality...



So my theory is ALTs still have a pump behind them before everything comes back down, but I'm not taking the risk of longing them right now, I'd rather short Bitcoin and look for entries in alts during a pullback.

New Trends

Quite possibly, the best way to gain wealth in crypto is being early. New tokens generally see more hype than ones from a previous cycle. I will be going over these tokens in the following weeks, but here are some examples of new tokens that I believe will steal the thunder from old tokens...

Kaspa (KAS) > Litecoin (LTC)

Aleph Zero (AZERO) > Solana (SOL)

Wasder (WAS) > Sandbox (SAND)

Morpheus Network (MNW) > VeChain (VET)

Chaing Finance (CHNG) > Binance Token (BNB)

MASQ (MASQ) > Basic Attention (BAT)

While these tokens may present more risk than their counterparts, they also present much more upside. Kaspa is quite possibly my favorite "new" token that's been released. Again, I plan on discussing these tokens more in the coming weeks, but I wanted you all to at least have a list if you wanted to do your own research - especially because a dip (buying opportunity) may present itself sooner than I have a chance to write about them.